

make it possible for them to operate on a different and sounder basis than in the past. One of the troubles in our business has been a potential conflict in interest between the customer and the customer's man, created by compensation practices which we believe were wrong. We're going to minimize, perhaps even eliminate, that potential conflict of interest.

Between ourselves, we think the best name for these men is service representatives, because it best expresses what we would like them to be in our organization. We think that by serving the customer's interest exclusive of all other considerations, the service representatives will really be doing the best job of serving their own interest, as well as that of the firm. To accomplish this purpose, they will assist their customers in getting all desired factual data; they will offer no advice as to the purchase or sale of securities or commodities except under restrictions we mentioned a few paragraphs back; they will circulate no rumors, "confidential suggestions," or "hot tips" designed to influence purchases or sales.

CUSTOMERS TO SAY WHAT SERVICE THEY WANT

Our customers themselves will determine the extent to which they want service. They will be asked to fill out a questionnaire stating exactly the type of service they desire. Representatives will then confine their activities strictly within the limits so outlined.

In order to make this policy genuinely workable, we propose to relate the salaries of our representatives primarily to the quality of service rendered to our clients. Their value will be judged largely by the degree of success with which they satisfy customers, and thus attract more customers. This, in our opinion, also represents the only sound way for our representatives to increase their earning power.

This whole policy means that we believe our best chance for increasing our business lies in constructively building the